

Session 2.3: Advanced Monetization Models

Take rates, fee restructuring, seller rent extraction, and Etsy marketplace economics.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

TAKE RATE ARCHITECTURE

Vocabulary

Key Topical Foundations

- **Pigou Price Discrimination::** 1st, 2nd, and 3rd degree tiering structures.
- **Platform Rent Extraction::** Balancing take rates without seller defection.
- **Fee Components::** Transaction fees, listing fees, and value-added services.
- **Micro-Examples::** eBay final value fee, Spotify freemium, AWS tiered compute.

Theoretical Foundations: Take Rate Architecture

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- *Pigou Price Discrimination::* 1st, 2nd, and 3rd degree tiering structures.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *Fee Hikes (2018-2023)::* Transaction fee raised from 3.5% to 5.0% to 6.5%.
- *Seller Resistance::* Artisan strikes and disintermediation risks.
- *Marketing Justification::* Using fee increases to fund expanded buyer acquisition.
- *Ecosystem Stability::* GMS held stable while service revenues expanded.

STRATEGIC TAKEAWAY

Take rates, fee restructuring, seller rent extraction, and Etsy marketplace economics.

Enterprise Case Dissection: Etsy Fee Restructuring

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

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- *Seller Resistance::* Artisan strikes and disintermediation risks.
- *Marketing Justification::* Using fee increases to fund expanded buyer acquisition.
- *Ecosystem Stability::* GMS held stable while service revenues expanded.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- *Etsy 10-K Data::* GMS, Marketplace Revenue, Optional Services Revenue.
- *Pure Take Rate::* $\text{Marketplace Revenue} / \text{GMS} (=C2/B2*100)$.
- *Total Take Rate::* $\text{Total Revenue} / \text{GMS} (=E2/B2*100)$.
- *Hidden Leverage::* Total take rate rose from 15.4% (2018) to 20.9% (2023).

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- **Extraction vs. Volume::** Risks of growing revenue while GMS slightly contracts.
- **Disintermediation Defense::** Tools keeping buyers & sellers inside platform.
- **Artisan Governance::** Two policies ensuring sellers perceive fair value.
- **Executive Memo::** Sustainable take rate ceiling and value-creation roadmap.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

- *Extraction vs. Volume::* Risks of growing revenue while GMS slightly contracts.
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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- *Actionable Recommendation:* Formulate a concrete 3-bullet decision brief for senior leadership.
- *Quantitative Defense:* Support recommendations using audited financial metrics from the lab spreadsheet.
- *Risk Mitigation:* Address channel friction, partner resistance, or competitive retaliation.
- *Implementation Timeline:* Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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